BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Staff Policy Panel

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Q. Members of the Department of Public Service (Department) staff (Staff) Policy Panel (Panel), please state your names, employer and business address.

A. Our names are Aric Rider, Chelsea Kruger, Ronald Calkins, Kwaku Duah, and Kathryn Mammen. We are employed by the Department of Public Service. Our business address is Three Empire State Plaza, Albany, New York, 12223-1350.

Q. Mr. Rider, in what capacity are you employed by the Department?

A. I have been recently promoted to Chief, Consumer Advocacy for the Office of Consumer Services.

Q. Mr. Rider, please provide a summary of your educational background and professional experience.

A. I hold a Bachelor of Science Degree in Civil Engineering Technology, which I received in 2001 from the State University of New York Institute of Technology at Utica/Rome. Within the Office of Electric, Gas and Water, I was previously assigned to the Gas and Water Rates and Supply, Gas and Water Rates, Major Utility Rates, Gas Rates, Gas Safety, Gas Policy and Supply, and

Electric Rates Sections. My duties involve the engineering analysis of utility operations as they relate to the ratemaking process, as well as participating in various reviews of local distribution companies' activities.

Q. Mr. Rider, have you previously provided testimony in proceedings before the Commission?

A. Yes, I have provided testimony in several proceedings before the Commission regarding sales forecasts, revenue imputations, operation and maintenance expenses, depreciation, capital planning, development of net plant, cost of service, revenue allocation, rate design, merchant function charges, revenue decoupling mechanisms, gas safety performance mechanisms, and tariff issues.

Q. Ms. Kruger, are you the same Chelsea Kruger testifying as part of the Staff Consumer Services Panel?

A. Yes. I discuss my credentials in that Panel's testimony.

Q. Mr. Calkins, are you the same Ronald F. Calkins testifying as part of the Staff Accounting Panel?

A. Yes. I discuss my credentials in that Panel's testimony.

Q. Mr. Duah, are you the same Kwaku Duah testifying as part of the Staff Finance Panel?

A. Yes. I discuss my credentials in that Panel's testimony.

Q. Ms. Mammen, are you the same Kathryn Mammen testifying as part of the Staff Efficiency and Sustainability Panel?

A. Yes. I discuss my credentials in that Panel's testimony.

SCOPE OF TESTIMONY

Q. Panel, what is the purpose of your testimony?

A. We will: (1) Explain the impact of the Northeast Supply Enhancement project on these rate proceedings; (2) present an overview of Staff's recommended revenue requirements for The Brooklyn Union Gas Company d/b/a National Grid NY's (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid LI's (KEDLI) (collectively, the Companies); (3) present an overview of Staff's recommended return on equity, common equity ratio and earnings sharing mechanism; (4)

provide a summary of the Companies' proposed capital investment plans; (5) provide an overview of the proposed Information Technology (IT) capital and Operation and Maintenance (O&M) expense plans; (6) summarize Staff's recommendations regarding earning adjustment mechanisms, performance metrics and incentives; and, (7) discuss KEDNY's Newtown Creek renewable natural gas project and make recommendations for rate treatment of the project.

Q. In your testimony, will you refer to, or otherwise rely on, any information obtained during the discovery phase of this proceeding?

A. Yes. We rely on several IR responses provided by the Companies. These responses are included in Exhibit___(SPP-1), and will be referred to using the Department's assigned request number (e.g., DPS-121). This Exhibit includes a Table of Contents that identifies each IR included within our testimony, and the page on which it may be found in the Exhibit.

Q. Are you sponsoring any other exhibits?

A. Yes. We are also sponsoring the following

exhibits: Exhibit___(SPP-2), which contains a summary of Staff's recommended incentive mechanisms; and, Exhibit___(SPP-3), which contains our calculation of the Newtown Creek Project Revenue Imputation.

Q. What is the Historic Test Year in these proceedings?

A. The Historic Test Year is the twelve months ending December 31, 2018.

Q. What is the Rate Year in these proceedings?

A. The Rate Year is the twelve months ending March 31, 2021. This period coincides with KEDNY and KEDLI's fiscal year (FY) 2021.

Q. Did the Companies include additional data for periods beyond the Rate Year?

A. Yes. The Companies provided data for the three subsequent twelve-month periods ending March 31st after the Rate Year, or what they called Data Years 1, 2 and 3.

NORTHEAST SUPPLY ENHANCEMENT PROJECT

Q. What is Transcontinental Gas Pipe Line LLC's (Transco) Northeast Supply Enhancement (NESE) project?

A. As described by Ms. Arangio, KEDNY and KEDLI signed precedent agreements for 100 percent of the incremental pipeline capacity with Transco to deliver an additional 400,000 dekatherms (dth) of natural gas per day to the downstate New York area. Transco plans to expand its existing pipeline system along Pennsylvania, New Jersey, and New York to connect to the Companies' system in the Rockaway Peninsula.

Q. Did the Companies assume the NESE project would be built during the Rate Year when they filed the instant cases?

A. Yes. As described by Ms. Arangio, KEDNY and KEDLI's rate filing assumes that NESE will be completed and available by the 2020/2021 winter heating season. This would be in the second half of the Rate Year.

Q. Does the Panel agree that rates should be set in these proceedings assuming that the NESE project will be built during the Rate Year?

A. No. This Staff team has no indication of whether or not the NESE project will be constructed, and if so, when. At present the NESE Project is under review at the New York

State Department of Environmental Conservation and the New Jersey Department of Environmental Protection. Given this situation, we believe that the most reasonable course of action for these rate proceedings is to assume that the NESE Project will not be available during the Rate Year. Accordingly, we have instructed the other Staff witnesses and panels to present recommendations based on the assumption that the NESE project will not be available during the Rate Year.

Q. What if the circumstances around the NESE project change prior to the Commission issuing a final rate order in these proceedings?

A. Each of the Staff witnesses and panels has endeavored to provide information sufficient for the Commission to set rates for the Rate Year under either circumstance, whether or not the NESE project will be available during the Rate Year. For example, the Staff Gas Infrastructure and Operations Panel (SGIOP) provides adjustments for both scenarios.

SUMMARY OF STAFF'S REVENUE REQUIREMENTS

Q. Please summarize Staff's recommendation regarding KEDNY's requested gas revenue requirement?

A. Staff recommends a gas base rate revenue requirement increase of $2.205 million, or approximately $173.5 million less than the $175.703 million requested by KEDNY.

Q. How does Staff's recommendation compare to KEDNY's on an overall total base delivery revenue increase?

A. Compared to KEDNY's $195.6 million base delivery revenue increase, Staff's recommendation results in a total base delivery revenue increase of $28.294 million, or a difference of approximately $167.3 million. The $28.294 million reflects a base delivery revenue requirement increase of $2.205 million, less incremental gross revenue taxes of $0.078 million, plus the impact of removing both the currently in place 2017 Tax Cuts and Jobs Act sur-credit of $44.646 million and the energy efficiency surcharge of $18.636 million as Staff also recommends including both of these

components in the base rate revenue requirement. The Staff Revenue Requirements Panel describes the major reasons for the differences between KEDLI's requested and Staff's recommended Rate Year revenue requirement.

Q. Please summarize Staff's recommendation regarding KEDLI's requested gas revenue requirement?

A. Staff recommends a base delivery revenue requirement decrease of $51.852 million, or approximately $91.1 million less than the $39.234 million requested by KEDLI.

Q. How does Staff's recommendation compare to KEDLI's on a total base delivery revenue increase basis?

A. Compared to KEDLI's $61.2 million total base delivery revenue increase, Staff's recommendation results in a total base delivery revenue decrease of $28.740 million, or a difference of approximately $89.9 million. The $28.740 million reflects a base delivery revenue requirement decrease of $51.852 million, less decremental gross revenue taxes of $0.772 million, plus the impact of removing both the

currently in place 2017 Tax Cuts and Jobs Act sur-credit of $31.834 million and the energy efficiency surcharge of $9.478 million as Staff also recommends including both of these components in the base rate revenue requirement. The Staff Revenue Requirements Panel describes the major reasons for the differences between KEDLI's requested and Staff's recommended Rate Year revenue requirement.

Low Income Program Deferral Credits

Q. What are KEDNY and KEDLI's deferral credit balances related to the low income programs?

A. As of December 31, 2018, KEDNY has a deferral credit of $10.9 million and KEDLI has a credit of $9.8 million.

Q. What do you recommend regarding these deferral credits?

A. Based on Staff's proposed revenue requirement, we believe use of the low income deferral credits is not needed during the Rate Year. However, if the revenue requirement for both Companies does increase, we recommend the Commission apply a quarter of the deferral

credit balances to the Energy Affordability Program budgets in the Rate Year to minimize bill impacts on ratepayers. The remainder of the deferral credits can be reserved to offset the Energy Affordability Programs in the future, as the program's bill discounts and budgets fluctuate.

COST OF CAPITAL

Q. What return on equity (ROE) and common equity ratio did the Companies request?

A. The Companies requested a 48.0 percent common equity ratio, with a 9.65 percent return on equity and overall pre-tax rate of return of 8.53 percent for KEDNY and 8.51 percent for KEDLI.

Q. What does Staff recommend for a return on equity and a common equity ratio?

A. The Staff Finance Panel recommends a common equity ratio of 48.0 percent, with a return on equity of 8.20 percent for both Companies. These result in an overall pre-tax rate of return of 7.58 percent for KEDNY and 7.54 percent for KEDLI.

Q. What is the impact of Staff's recommended rate of return on the Companies' revenue requirements?

A. The impact of our recommended rate of return is to decrease the Companies' revenue requirements by approximately $49.00 million and $33.0 million for KEDNY and KEDLI, respectively.

Q. What is an earnings sharing mechanism (ESM)?

A. An ESM provides for the sharing of any earnings in excess of a threshold above a company's allowed return on equity. Such a mechanism is useful in two ways. First, by requiring that a portion of such excess earnings be retained for customers, the mechanism helps to protect customers from paying for an excessive return. Second, as shareholders will receive the benefit of a portion of these excess earnings, the structure of the ESM maintains an incentive for a company to increase efficiencies.

Q. Do you recommend that the Commission institute an ESM in the event that the Commission sets rates for a one year period, i.e., the Rate Year?

A. An ESM should not be instated during the Rate

Year, however, if the Commission sets rates for a single Rate Year, we recommend that the Commission institute an ESM for the period after the end of the Rate Year. Additionally, we note that the Commission instituted an ESM for the period following the rate year when it last set rates for National Fuel Gas Distribution Corporation in Case 16-G-0257. Specifically, we recommend that the Commission require the implementation of an ESM for each 12-month period following the Rate Year, i.e., the 12-month period ending March 31, 2022 and so on. The ESM would only go into effect in the event the Companies do not file for new rates to go into effect on or before October 1, 2021. By doing so, the Commission can ensure that the Companies' rates remain just and reasonable in the event there are unanticipated consequences that may unreasonably increase the Companies' actual earnings.

Q. What structure do you recommend for the ESM?

A. We recommend structuring the ESM in four bands. For the first band, we recommend that the Companies be allowed to retain 100 percent of

earnings up to and including 50 basis points above their allowed ROE. For the second band, defined as earnings greater than 50 basis points above their allowed ROE and up to 100 basis points above their allowed ROE, we recommend that 50 percent of any earnings be deferred for the benefit of customers and the remaining 50 percent be retained by the Companies. For the third band, defined as earnings greater than 100 basis points above their allowed ROE and up to 150 basis points above their allowed ROE, we recommend that 75 percent of any earnings be deferred for the benefit of customers and the remaining 25 percent should be retained by the Companies. For the last band, defined as any earnings in excess of 150 basis points above their allowed ROE, we recommend that 90 percent of any earnings should be deferred for the benefit of customers and the remaining 10 percent be retained by the Companies.

CAPITAL INVESTMENT PLANS

Q. Please briefly describe how many gas customers the Companies serve and the areas in which they

operate.

A. KEDNY serves approximately 1.2 million customers in Brooklyn, Staten Island and Parts of Queens. KEDLI serves approximately 590,000 customers in Nassau and Suffolk Counties and the Rockaway Peninsula.

Q. Have the Companies proposed investment plans to address the conditions of their gas distribution systems?

A. Yes. KEDNY and KEDLI plan to invest $856 million and $568 million, respectively, in the Rate Year, as shown in the Companies' Exhibits___(GIOP-1CU), in order to support maintaining safe, reliable and resilient delivery service. The budgets exclude the cost of removal, which the Companies show in their presentations for cash flow purposes. The Companies' investment plans include the retirement of leak prone pipe (LPP), programs to respond to conditions on their transmission system, as well as preparing for the major rehabilitation of their liquified natural gas (LNG) tanks.

Q. What investment levels did the Commission

authorize in the 2016 Rate Order, issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059?

A. As shown in Appendix 1, Schedule 5 of the Joint Proposal adopted through the 2016 Rate Order, the Commission approved KEDNY's budgets of $603 million, $654 million, $650 million and $629 million for calendar years 2017 through 2020, respectively. As shown in Appendix 2, Schedule 5 of the Joint Proposal, the Commission approved KEDLI's budgets of $322 million, $377 million, $396 million and $406 million in 2017 through 2020, respectively.

Q. Please explain the major drivers of the increases in the capital budgets in the instant cases.

A. The major drivers are the need for the following investments: (1) to meet customers' requests for service; (2) the City/State construction activity; (3) the removal of LPP; (4) integrity management programs to identify and address the gas system; and (4) to start major reliability projects – the LNG tank rehabilitations.

Q. What are the current drivers of the incremental

increases in the O&M budgets associated with the capital investment plans?

A. The Companies identified the drivers as: (1) increasing capital investments and increased costs for executing the Companies' capital plans; (2) changes to Companies' O&M workload; and, (3) initiatives the Companies are undertaking in the Rate Year to address new or expanding safety requirements and to implement lessons learned from recent incidents throughout the gas distribution industry.

Q. What are the proposed costs of the incremental O&M programs?

A. As shown on Exhibits__(GIOP-8CU), KEDNY proposes $12.3 million and KEDLI proposes $8.3 million in incremental O&M expenses for the Rate Year.

Q. Did the Companies propose increases to the number of FTE positions to deliver the capital and O&M programs?

A. Yes. As shown on Exhibits__(GIOP-9CU), the Companies included an additional 145.7 and 85.3 FTE positions for KEDNY and KEDLI, respectively, in the Rate Year in various areas including: service line inspection, contractor safety

inspection, enhanced inactive account, instrumentation and regulation, pipeline safety, materials lab testing, meter inspection, gas control standard operating procedure training, first responder training, high emitter methane detection, operator qualification program, support for capital investments, integrity management programs, storm hardening, and research and development.

Q. What did the Companies forecast for incremental O&M expenses related to the new FTEs?

A. As shown on Exhibits___(RRP-3CU), Schedule 27, Page 6 of 8, the Companies forecast total incremental gas expense of $8.3 million and $6.5 million for KEDNY and KEDLI, respectively.

Q. Did the SGIOP conduct a comprehensive review of the Companies' Capital and O&M budgets?

A. Yes. The SGIOP performed a review of the Companies' process and procedures, including project planning, estimating, project management, budgeting and the approval process. The SGIOP also reviewed the historic capital expenditures and expenses, forecast capital expenditures and expenses and changes to O&M

expenses related to changes to the forecast capital expenditures.

Q. Does the SGIOP have recommendations with regard to the gas capital investment plans?

A. Yes. The SGIOP recommends that the Rate Year capital expenditure budgets, inclusive of cost of removal, be reduced by $124.3 million and $157.5 million for KEDNY and KEDLI, respectively.

Q. Does the SGIOP have O&M expense recommendations with regard to the new initiatives and FTEs?

A. Yes. The SGIOP reduced the Companies' Rate Year O&M expense budgets by $4.806 million and $3.010 million for KEDNY and KEDLI, respectively, and reduced the Companies' FTE requests by 11.6 and 7.9 for KEDNY and KEDLI, respectively.

INFORMATION TECHNOLOGY INVESTMENT PLANS

Q. Please briefly describe the proposed Information Technology capital investment plan.

A. The Companies' IT Panel explained that IT serves a wide range of services, from critical gas transmission / distribution support systems to standard office desktop applications, and is

vital for the “safe, reliable, and secure physical and commercial operation of KEDNY and KEDLI’s gas distribution business”. IT also provides the necessary software applications to serve the customer needs and to efficiently and effectively manage and operate KEDNY and KEDLI.

Q. Where in National Grid’s corporate structure do IT investments take place.

A. Generally, National Grid USA Service Company, Inc (Service Company) makes investments in IT and then allocates the cost of those investments to the operating utilities, including KEDNY and KEDLI through Service Company Rents.

Q. What investment levels do KEDNY and KEDLI propose?

A. As shown in the Exhibit___(ITP-4CU), the proposed IT spending levels are $243.8 million, $382.8 million, $180.8 million and $299.2 for the Rate Year, FY 22, FY 23, and FY 24, respectively, for the Service Company. This is a significant increase as compared to the five-year average of annual capital spending of $97.5 million. The Companies also forecast Service Company-level “run the business” expenses and

operating expenses of approximately $318.7 million for all projects in the Rate Year. This is also a significant increase, compared to $244.2 million of run the business and operating expenses incurred in the Historic Test Year.

Q. Please explain the major drivers of the investment in IT.

A. The Companies state that in addition to the baseline IT needed to run the business, there are several significant IT programs and initiatives: (1) Technology Modernization; (2) Cyber and Physical Security; (3) Customer Information System Replacement; (4) SAP S/4 HANA; (5) Gas Business Enablement; and (6) and Customer Transformation.

Q. Did the Staff IT Panel conduct a comprehensive review of the Companies' proposal?

A. Yes. For the proposed new IT projects the Staff IT Panel performed a thorough review of the IT budgeting process, proposed IT investment plan, and the cost estimation and implementation planning process.

Q. Describe the Staff IT Panel's recommendations regarding the IT investments.

A. The Staff IT Panel recommends revenue requirement adjustments to reflect: (1) the removal of certain IT projects, (2) an adjustment to KEDNY and KEDLI's forecast of the Service Company-level IT capital budget, and (3) an adjustment to Service Company return on IT capital investments. The Staff IT Panel also recommends a downward-only reconciliation of capital expenditures associated with KEDNY and KEDLI's Service Company Rent Expense and adding reporting requirements to allow for enhanced oversight of the Companies' IT programs.

Q. Did the Staff IT Panel have concerns with the Companies' IT proposals?

A. Yes. Due to the Companies' budgeting process and the timing of the rate filings, many projects do not have sanction papers for Staff to review. It is, therefore, extremely difficult for Staff to determine if the proposed Service Company budgets are reasonable and appropriate.

Q. How can the Companies improve on their processes?

A. We recommend the following process improvements:

(1) proposed budgets included in a rate filing should be supported by sanction papers; (2) once the sanction papers are developed, National Grid's CIO should attest to the costs and benefits of the programs that make up the approved budget; (3) after the projects are closed, National Grid's CIO should attest to and report on the actual costs and benefits achieved through the IT investment plan, and, (4) these improvements should be incorporated into the IT reporting requirements.

Q. Why are these improvements reasonable?

A. If the Companies filed sanction papers in the rate case, Staff could assess the reasonableness of the IT budgets. Moreover, having the CIO attest to the costs and benefits would provide a level of accountability for the Companies to deliver on their promises.

EFFICIENCY AND SUSTAINABILITY

Energy Efficiency

Q. Describe Staff's recommendations regarding energy efficiency.

A. The Staff Efficiency and Sustainability Panel

recommends using the Companies' proposed energy efficiency budgets as placeholders until the Commission authorizes budgets in Case 18-M-0084, at which time the authorized budgets should replace the Companies' proposed budgets. In addition, the Staff Efficiency and Sustainability Panel recommends amortizing the Companies' unspent energy efficiency related funds over five years to offset the energy efficiency collections.

Gas Supply

Q. Did the Staff Gas Supply Panel address the Companies proposed Green Gas Tariff?

A. Yes. The Staff Gas Supply Panel supports the proposed program with two modifications: the proposed FTEs be reduced from two to one FTE for the Rate Year and the Companies' proposed reconciliation mechanism be modified given the innovative nature of the Green Gas Tariff.

Q. What does Staff recommend regarding the Clean Conversion Program and the Low and Moderate Income Conversion Program.

A. The Staff Efficiency and Sustainability Panel

addresses the Companies' conversion programs. That Panel recommends that as we are assuming that the NESE project will not be built in the Rate Year, these programs should be denied.

Q. If the NESE Project does get built, do you recommend approving the Clean Conversion Program or the Low and Moderate Income Conversion Program?

A. No.

Q. Please explain.

A. Despite its name, the Clean Conversion Program is no different than the former Neighborhood Expansion Program, except for the provision of information regarding renewable natural gas and geothermal heat pumps. Even if supply is available, we recognize that these programs ask existing firm customers to subsidize providing gas service to new customers. Accordingly, we recommend discontinuing them.

Q. What does Staff recommend regarding the Fuel Switching Calculator, Demand Response program expansion, and expanded utility-owned Geothermal Demonstration Project?

A. The Staff Efficiency and Sustainability Panel

makes recommendations related to each of these topics. Specifically, the Staff Efficiency and Sustainability Panel recommends: (1) approval of the Fuel Switching Calculator, provided that the costs of the platform are spread amongst the other National Grid operating utilities; (2) approval of the expanded Demand Response Program as requested by the Companies, with the exception that recovery of such costs occur as a line item through the Delivery Service Adjustment surcharge mechanism; and (3) that expansion of the utility-owned Geothermal Demonstration Project be rejected.

PERFORMANCE METRICS

Earnings Adjustment Mechanisms

Q. Describe Exhibit___(SPP-2).

A. Exhibit___(SPP-2) is a summary of all gas incentive mechanisms recommended in these proceedings.

Q. What types of incentive mechanisms does Staff recommend?

A. Various Staff panels recommend earnings adjustment mechanisms (EAMs), and performance

metrics with associated negative and/or positive revenue adjustments.

Q. Please briefly summarize the EAMs that the Staff EAMs Panel (SEAMP) recommends for KEDNY and KEDLI in these proceedings.

A. The SEAMP recommends that the Commission institute a peak reduction metric for each Company. The SEAMP also recommends that the Commission institute a "Share the Savings" energy efficiency metric for each Company.

Q. Please describe the peak reduction metric.

A. The SEAMP recommends high level concepts for a peak reduction metric that would measure peak-day usage reductions from firm customers on a per-Heating Degree Day basis. However, the SEAMP believes that input from the Companies and other parties will be necessary to fully develop this metric. Further, the SEAMP recommends that each Company be allowed to earn up to 10 basis points under this metric.

Q. Please describe the Share the Savings energy efficiency metric.

A. At a high level, each Company could earn a 30 percent share of the savings the Company creates

by improving the financial efficiency of its energy efficiency programs.

Q. How do the SEAMP recommendations compare to the Companies' EAM proposals?

A. KEDNY and KEDLI proposed multiple, sometimes overlapping, EAMs. Associated with their proposed metrics, KEDNY and KEDLI proposed to earn up to 78 basis points and 77 basis points, respectively.

Q. Does the SEAMP address non-pipe alternatives (NPAs)?

A. Yes.

Q. Please briefly summarize the SEAMP Panel's NPA recommendations.

A. The SEAMP recommends instituting an NPA mechanism through which the Companies would consider NPA alternatives to traditional capital projects. The SEAMP Panel recommends implementing a structure for the Companies to develop and propose NPAs in these proceedings, but would leave consideration of an actual incentive to a separate filing, when one of the Companies has a concrete NPA proposal.

Q. Please briefly summarize the platform service

revenues (PSRs) that the SEAMP recommends for KEDNY and KEDLI.

A. The SEAMP recommended that the Companies be allowed to retain 20 percent of the net revenues generated from their Utility Energy Services Contracts program.

Q. How do the SEAMP recommendations compare to the Company's proposed PSRs?

A. The Companies proposed to retain 20 percent of the revenues generated from their E-Commerce Platform, as well as one-third of the gross revenues generated from their Utility Energy Services Contracts program.

Customer Service Quality

Q. Please briefly summarize the Customer Service Quality Program (CSQP) as recommended by the Staff Consumer Services Panel in these proceedings.

A. The Staff Consumer Services Panel recommends continuing the Customer Service Quality Program presently in place for KEDNY and KEDLI, with modifications to the targets. The CSQP includes targets for: (1) the annual PSC Complaint Rate

per 100,000 customers; (2) Residential Customer Transaction Satisfaction, measured through a customer satisfaction survey; (3) Percentage of Calls Answered within 30 Seconds; and (4) Percentage of Adjusted Customer Bills. The CSQP includes potential negative revenue adjustments (NRAs), which are incurred should the company fail to meet minimum performance targets in each measure. A total of $11.7 million and $9.9 million, in potential gas revenue adjustments are currently at risk annually for KEDNY and KEDLI, respectively, divided among the four performance measures. The Staff Consumer Services Panel recommends maintaining the NRAs at their current levels.

Q. Please describe the Staff Consumer Services Panel’s recommended incentive for terminations and uncollectibles.

A. The Companies proposed to continue the positive-only revenue adjustment to reduce residential service terminations and uncollectibles, with adjusted targets. The Staff Consumer Services Panel recommends adjusting targets and adding a third metric for residential arrears, whereby

the Companies could earn a Positive Rate Adjustment (PRA) if it reduces residential terminations, uncollectible expenses, and arrears to specified targets.

Pipeline Safety

Q. Describe the Staff Pipeline Safety Panel's testimony in these proceedings.

A. The Staff Pipeline Safety Panel's testimony addresses the Companies' proposals for performance metrics in the areas of leak prone pipe removal, leak management, damage prevention, emergency response, and compliance with the pipeline safety regulations. The Staff Pipeline Safety Panel also addresses first responder training, inactive accounts, residential methane detectors, the service line proceeding, New York City Local Law 152, outside meters, plastic fusion, the methane leak pilot program, enhanced contractor safety inspections, buried vent lines, historic revenue adjustments and associated program enhancements, and annual reporting requirements.

Q. Do KEDNY and KEDLI propose to continue the

incentives to remove LPP mileage in addition to the minimum amount they are required to remove?

A. Yes. The Companies propose to earn two basis points for each full mile of LPP it removes, beginning with the second full mile of LPP removed above the specified threshold levels. As we will discuss, this incentive should be eliminated.

Q. Please describe the Companies' proposal for positive incentives to repair additional Type 3 leaks.

A. The Companies proposed to receive one basis point for eliminating 50 additional of the highest volume emitting Type 3 leaks. This positive revenue adjustment would be capped at five basis points and a corresponding annual reduction of 250 leaks in the Companies' respective total leak backlogs. The Staff Pipeline Safety Panel recommends that for every 100 additional leaks repaired beyond the total leak management targets, the Companies could earn two basis points, capped at six basis points, or 300 additional leak repairs.

Q. Please describe the Staff Pipeline Safety

Panel's recommendation for a positive revenue adjustment related to damage prevention?

A. The Staff Pipeline Safety Panel recommends restructuring the damage prevention metric to focus on the total damage prevention targets with associated positive revenue adjustments. KEDNY and KEDLI reported that 31 and 34 percent, respectively, of their damages in 2018 were a direct result of either mismarks, Company error, or Company contractor error. This means that the majority of damages were a direct result of either excavator error, or for excavators failing to provide notice of their intent to excavate to the one-call notification system. With the goal of the damage prevention measures being the reduction of total damages, the Staff Pipeline Safety Panel believes that the Companies should focus their efforts on, and be encouraged to, improve in the areas which will drive down total damages.

Q. Please describe the Staff Pipeline Safety Panel's recommendation for a positive revenue adjustment related to emergency response?

A. The Staff Pipeline Safety Panel concurs with the

Companies' proposals for positive revenue adjustments in the area of emergency response. Specifically, the Companies could each earn up to six basis points should they respond to a higher percentage of gas leak, odor, and emergency reports within 30 minutes.

Q. Are there currently metrics with associated negative revenue adjustments for KEDNY and KEDLI's performance in the areas of LPP removal, leak management, damage prevention, and emergency response?

A. Yes.

Q. Does the Staff Pipeline Safety Panel recommend continuing these metrics?

A. Yes. The Staff Pipeline Safety Panel recommends continuing these metrics with updated targets and associated adjustments, as described in its testimony.

Q. Are there currently metrics with associated negative revenue adjustments regarding the Companies' compliance with the Commission's pipeline safety regulations?

A. Yes.

Q. Does the Staff Pipeline Safety Panel recommend

continuing these metrics?

A. Yes. However, the Staff Pipeline Safety Panel recommends continuing these metrics with updated targets and associated adjustments, as described in its testimony.

Q. Does this Panel recommend any changes to incentives available to the Companies?

A. Yes. Staff seeks to ensure that the incentives that are provided to natural gas utilities to maintain safe and reliable service are appropriate and produce desired outcomes. Since the Companies filed their rate cases, Governor Cuomo signed into law the Climate Leadership and Community Protection Act (CLCPA). While the CLCPA does not contain any provisions directly relating to the provision of natural gas service in the Companies service territories, it enacts goals for carbon emissions reductions which will be difficult to accomplish without taking some steps to address the carbon emissions from space and water heating. Additionally, the Companies are currently facing supply constraints.

Q. Does the Panel expect that the Public Service Commission will address these issues in the

future?

A. Yes, although it is difficult to assess the timing of any Commission actions.

Q. Given that New York State has ambitious climate leadership goals and immediate supply constraints, what issues should be addressed for KEDNY and KEDLI in these proceedings?

A. The Companies incur significant costs addressing the safety and reliability of their systems. The Companies also face the problem of aging infrastructure which manifests itself in the highest leak backlog in New York State at KEDLI. The methane which is emitted from these leaks is a greenhouse gas, in addition to being a safety threat to the residents of these service territories. The Companies' safety programs include items like leak prone pipe replacement and regulator station replacements in their capital budget, as well as leak repairs and other O&M activities which are expensed. In total, these programs are significant in the Rate Year.

Q. What does the Panel recommend to address these issues?

A. We propose the following changes to recognize current issues: (1) Eliminate the proposed positive revenue adjustment for leak prone pipe replacement over and above the annual target as shown in Exhibit___(GIOP-3); (2) Eliminate the proposed positive revenue adjustment for leak prone pipe unit costs as shown in Exhibit___(GIOP-3); (3) Eliminate the proposed positive revenue adjustment for customer connections as shown in Exhibit___(GIOP-3); and (4) implement a positive revenue adjustment for the Companies if they can deliver their investment plans - a minimum amount of leak prone pipe replacement and a reduction in their respective year end leak backlogs - for less than the budgeted program amounts.

Q. How should the new positive incentive be developed?

A. The Commission should require the Companies to file: (1) their algorithm used to risk rank leak prone pipe segments for Staff review within 30 days of the date the Commission issues a rate order in these proceedings; (2) at the beginning of every year, the complete list of all leak

prone pipe segments in order of highest to lowest risk per the risk ranking; (3) at the end of every year, the list of all pipeline segments that were replaced in the year that just ended, indicating what position each segment had on the risk ranking at the beginning of the year. The Companies should develop a Safety and Reliability Program, which would contain all capital and expense budget items that contribute to the safety and reliability of the system. If the Companies can deliver their investment plans for less than the budgeted program amounts, they should be awarded an incentive.

Q. How could the positive incentive be developed?

A. Assuming that the Companies meet the metrics of minimum mileage of leak prone pipe replacement and year end leak backlog, and the Companies were able to do so for less than the budgeted program amount, an incentive could be developed by determining the revenue requirement savings of the program. The Commission could allow the Companies to retain a percentage of the revenue requirement savings.

Q. Would the Capital Investment Reconciliation

Mechanism have to be adjusted?

A. Yes. There would be an interplay between the two mechanisms.

Q. Why is this new positive incentive reasonable?

A. This incentive is designed to encourage the Companies to make decisions to ensure safety and reliability and to decrease carbon emissions, while increasing customer choice and decreasing costs.

Q. What other desired outcomes should the Commission encourage?

A. As described in the Staff Earned Adjustments Mechanisms Panel’s testimony, the Companies are encouraged to begin responding to system needs with non-traditional solutions as quickly as possible, and any LPP removed from service in this manner would be included in meeting the LPP mileage metric.

NEWTOWN CREEK PROJECT

Q. What is the Newtown Creek Project?

A. On page 77 of the direct testimony of the Future of Heat Panel it explains that KEDNY has developed a project with the City of New York to

capture biogas generated from the City's Newtown Creek Wastewater Treatment Plant. The biogas consists of approximately 60 percent methane and 40 percent CO_2. KEDNY will filter it through a purification facility and upgrade it to pipeline quality natural gas, which will then be odorized and injected into the gas system for direct use by customers.

Q. Was the Newtown Creek Project in the last rate case regarding KEDNY, Case 16-G-0059?

A. Yes. The SGIOP in that case explained that KEDNY would own specific assets: gas purification systems that consist of vessels, a compressor, vacuum skids, a transformer and other electrical equipment, gas analyzer and a chromatograph, odorization system, tail gas tank, cooler, thermal oxidizer, metering and regulation system, air system, air sensors, fire suppression equipment, and electronic communication equipment. The Newtown Creek Project also was projected to have ongoing incremental O&M expenses.

Q. In Case 16-G-0059, what rate treatment did KEDNY propose for the assets and incremental O&M

expenses associated with the Newtown Project.

A. KEDNY proposed that the assets be placed in to plant in service and the incremental O&M expenses be reflected in the cost of service.

Q. In Cases 16-G-0058 and 16-G-0059, how did the Companies propose customers be charged for the gas injected into KEDNY's distribution system?

A. KEDNY and KEDLI proposed that their sales customers pay for the gas through the Gas Adjustment Clause (GAC) at the monthly weighted average cost of gas (WACOG). KEDNY's sales and transportation customers would receive a credit equal to the gas charges paid by KEDNY's and KEDLI's sales customers. KEDNY's customers would also receive credit for any environmental attributes or third-party sales.

Q. Please explain the credits associated with environmental attributes or third-party sales.

A. In Case 16-G-0059, KEDNY's Gas Infrastructure and Operations Panel explained that the renewable gas from the project may qualify for various federal and state emissions credits depending on how the gas is utilized by the end user, under New York's Renewable Portfolio

Standard program or the Environmental Protection Agency's Renewable Fuel Standard Program. KEDNY claimed that it would work to identify and leverage available emissions credits to offset the cost of the Newtown Creek Project.

Q. In the last rate case, did Staff raise concerns with the Newtown Creek Project?

A. Yes. The Staff Infrastructure and Operations Panel's testimony stated that, from an environmental perspective, it did not have any concerns, however from a ratemaking perspective, it did not believe that the in-service date of the project would occur in the Rate Year. The Staff Infrastructure and Operations Panel's testimony also recommended that the Commission consider the following ratemaking options: (1) limit the level of investments reflected in the cost of service to be more in line with the projected revenues; (2) require the use of any excess revenues to write down the assets in lieu of the proposed sharing mechanism; and, (3) encourage the City of New York to provide full property tax abatement for 20 years, which would improve the economics of the project.

Q. Did the Commission adopt a Joint Proposal in Case 16-G-0059?

A. Yes. The Commission adopted a joint proposal and set rates for KEDNY and KEDLI in the Rate Order it issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059.

Q. How was the Newtown Creek Project addressed in the Joint Proposal that the Commission adopted?

A. Beginning on page 22 of the Joint Proposal, provision 5.6, the language states: “KEDNY will continue to develop the Newtown Creek biogas purification project. Because the ultimate in service date and final capital costs are not known at this time, the costs are not included in the revenue requirement. Once the project is in service, KEDNY is permitted to defer the return of and return on the Newtown Creek project and have those costs reviewed for potential recovery in its next base rate filing. The revenue requirement for the Newtown Creek project will be subject to a $1.6 million annual exclusion (prorated from the in service date) for 20 years. The $1.6 million amount and the 20 year time period will be subject to review

for possible modification in KEDNY's next rate case. The revenue requirement associated with the project will reflect a 40 year depreciable life. [The City of New York] agrees to support KEDNY's reasonable efforts to mitigate the effects of the revenue requirement exclusion, including, but not limited to, supporting KEDNY's application(s) for property tax abatements, to the extent such efforts are permitted by applicable law. Further, any revenues from KEDNY's share of the sale of gas at a premium (i.e., in excess of the weighted average cost of gas) or environmental credits generated from the project will be used to offset the revenue requirement exclusion."

Q. Did KEDNY explain the current status of the Newtown Creek Project in its filing in the instant cases?

A. Yes. The Future of Heat Panel testimony states that by June 2018, KEDNY secured all necessary permits and subsequently began project construction in July of 2018. The Future of Heat Panel states that efforts are currently on schedule, and KEDNY expects to bring the project

online in November 2019. In addition to the construction activities, KEDNY issued a request for proposals in 2018, seeking a firm to monetize the environmental attributes KEDNY expects to generate from the injection of RNG into the local distribution system. KEDNY selected Element Markets to complete this task. KEDNY and Element Markets are currently collaborating to register the project under the federal Renewable Fuel Standard Program as a generator of Renewable Identification Numbers (RINs).

Q. What ratemaking treatment did KEDNY propose for the Newtown Creek Project in the instant cases?

A. As explained on the Future of Heat Panel's testimony, beginning on page 79, KEDNY proposed including a total capital cost of approximately $32 million in plant in service; recovery of associated property tax expense, net of abatement; recovery of depreciation expense reflective of a 20-year depreciation life; and recovery of O&M costs of $0.668 million. KEDNY also included a revenue estimate of $1.9 million per year, comprised of $1.0 million from the gas

sales and $0.9 million from the sale of environmental attributes. KEDNY proposed to true-up the actual revenues for recovery from or return to customers. Further, KEDNY proposed that any revenues realized above the level necessary to fully reimburse customers for the project costs would be shared evenly between customers and NYC beginning in the fifth year after the project becomes operational. KEDNY proposed that revenue sharing would then be assessed every year thereafter for the remainder of the project's life.

Q. Why did KEDNY propose to true up the actual revenues to the level imputed in this case?

A. Beginning on page 81 of the Future of Heat Panel's testimony, KEDNY explained that the value of the environmental attributes will vary due to market changes, and KEDNY expects significant variability over time. Moreover, KEDNY explained that the actual revenue is highly dependent on the volume of biogas produced and the proportion of the volume assigned to the environmental attributes.

Q. Does KEDNY have a contract with the City of New

York associated with the Newtown Creek Project?

A. Yes, the contract was provided in response to IR DPS-736.

Q. Does the contract explain how KEDNY's customers will receive the benefit of emission credits?

A. Yes. According to the contract, every year KEDNY will compare the implied cost (revenue requirement) to the market value (annual project output multiplied by an annual WACOG), including environmental credits, to offset the project's revenue requirement. If, at the end of year five, there are cumulative excess benefits, the City of New York would receive 50 percent of the excess benefits and the other 50 percent of the excess benefits is to be credited to KEDNY's firm customers. Section 6.5(c) of the contract also states that the City of New York shall maintain all right, title and interest to any and all Air Emission Credits for reduced emissions of constituents regulated by Title V Air Permit and/or any related state air permit earned by the City of New York in connection with this Project.

Q. When was the Newtown Creek Project first

sanctioned?

A. The response to IR DPS-734 states that the project was first sanctioned in August 2009.

Q. What was the estimated cost of the project and in-service date in August 2009?

A. KEDNY projected the cost at $8.3 million, with an in-service date of March 2011.

Q. How many times has the Newtown Project been re-sanctioned and what were the estimated costs and associated in-service dates?

A. The project has been re-sanctioned a total of six times, as shown in the response to IR DPS-734. The re-sanction dates, estimated costs and in-service dates are as follows: April 2012, with an estimated cost of $14.4 million and in-service date of March 2014; August 2014, with an estimated cost of $19.9 million and an in-service date of September 2016; October 2015, with an estimated cost of $32.8 million and an in-service date of February 2017; February 2016, with an estimated cost of $34.1 million and an in-service date of July 2017; and November 2017, with an estimated cost of $37.9 million and an in-service date of December 2018.

Q. Did KEDNY report on a potential tax credit for the project?

A. Yes. On page 18 of Attachment 8 to the response to IR DPS-734, KEDNY reported that due to the extensive delays to start construction a $4 million tax credit was jeopardized. In the response to IR DPS-971, KEDNY stated $3.1 million in real property tax savings will be awarded because the completion date deadline was extended to February 29, 2020. Thus, the delays appear to have caused KEDNY to lose $0.9 million in real property tax savings.

Q. What is the current status of the Newtown Creek Project?

A. As explained in the response to IR DPS-737, the Project is 65 percent complete and KEDNY now anticipates an in-service date of December 31, 2019.

Q. What is the most recent cost benefit analysis for the Newtown Creek Project?

A. In response to IR DPS-734, KEDNY stated that the benefits of the project include: expanding the concept of renewable technology; reducing an estimated 90,000 metric tons of CO_2 emissions;

providing a solution to food waste management; and, improving diversity of supply. KEDNY also provided an economic analysis presentation dated January 22, 2016 that compares the cost of the Project to the potential revenues. On slide 10, KEDNY estimated a base case, a worst case, and a base case with full property tax abatement.

Q. Please explain the base case.

A. KEDNY's base case assumes an annual production of 277,500 dth, $33 million capital costs and five years of property tax abatement on $14.4 million of the capital investment. Under the base case the levelized revenue requirement is $5.7 million per year, which equates to $20 per dth of gas injected into the distribution system.

Q. Why is the property tax abatement calculated on only $14.4 million of the capital investment?

A. Our understanding is that the property tax abatement agreement was based off of the 2012 cost estimate, which has not been updated.

Q. For reference, what is KEDNY's current WACOG?

A. Per KEDNY's GAC Statement 252, effective August 1, 2019, KEDNY's current WACOG is 40.453 cents

per therm, or $4.0453 per dth.

Q. Please explain the worst case.

A. KEDNY’s worst case assumes annual production of 208,000 dth, a 20% reduction in renewable credits, $36 million capital costs and again assumes five years of property tax abatement on $14.4 million of the capital investment. Under the worst-case scenario the levelized revenue requirement is $8.2 million per year, which equates to $29 per dth of the gas injected into the distribution system.

Q. What is the last scenario KEDNY provided?

A. KEDNY’s last scenario is the base case, but assuming full property tax abatement. This means receiving property tax abatement for 20 years. Under this scenario, the levelized revenue requirement is $4.2M per year, which equates to $15 per dth of gas injected into the distribution system.

Q. Does the Panel have any concerns with the Newtown Creek Project?

A. Yes. We are concerned with the overall cost of this project and the resulting ongoing annual revenue requirement impact to customers.

Q. What is the estimated capital cost of the project?

A. According to the response to IR DPS-972, the estimated capital cost of the project is $37.898 million plus or minus ten percent.

Q. Did the Panel ask KEDNY how it attempted to control the costs of the project?

A. Yes. According to the response to IR DPS-735, KEDNY pursued several measures to reduce the total cost of the project, including using in-house engineering, collaborating with the City to pay lower rates for electricity and securing a five-year property tax abatement.

Q. Does KEDNY currently own or operate any gas production facilities?

A. According to the response to IR DPS-736, no.

Q. Will the equipment owned by KEDNY be located on KEDNY’s property?

A. According to the response to IR DPS-736, no. The equipment will be located on property owned by the City of New York.

Q. Why does KEDNY believe it is reasonable for the City of New York to charge property taxes for the assets used for this project?

A. According to the response to IR DPS-736, KEDNY claims that these assets are subject to be taxed by the City of New York in the same manner as any other utility-owned assets. KEDNY further stated that it has secured a tax exemption for the Project from City of New York property taxes for the first five years of the Project operation, based on a discount rate of 6.25 percent per annum and a total project cost of $14.4 million, which is based on the 2012 cost estimate.

Q. Did the Panel ask KEDNY to identify the annual revenue requirement impact of the Newtown Creek Project?

A Yes. In response to IR DPS-738, KEDNY provided Attachment 1 that shows the net Rate Year revenue requirement impact of $2.9 million using the following assumptions: a total capital cost of $32.2 million; depreciation over a 20 year service life; an 8.53 percent pre-tax weighted cost of capital; $0.668 million for O&M expense; no property taxes; and $1.9 million in revenues from gas sales and environmental attributes.

Q. Are the total capital costs accurate?

A. No. As previously mentioned, the estimated capital cost of the project is $37.898 million plus or minus ten percent.

Q. Why does KEDNY believe a 20-year depreciable life is reasonable?

A. According to the response to IR DPS-736, KEDNY believes a 20-year depreciable life is reasonable because it matches the term of the lease agreement with the City of New York.

Q. Does the 8.53 percent pre-tax weighted cost of capital reflect KEDNY’s proposed return on equity and capital structure?

A. Yes.

Q. Why are there no property taxes included in the Rate Year?

A. There is a lag between when assets are placed in service and when property tax assessments begin. KEDNY estimates that property taxes will be assessed beginning in FY 22.

Q. How did KEDNY develop the $1.9 million in revenues from gas sales and environmental attributes?

A. KEDNY provided its workpapers in the response to IR DPS-739. These show that KEDNY estimated

annual gas revenues of $0.939 million and annual RIN revenues of $0.973 million.

Q. Does the Panel agree with the Companies' proposed ratemaking treatment of the Project?

A. No.

Q. Why not?

A. There is a significant amount of uncertainty with this project and under KEDNY's proposal and all of the risk is borne by KEDNY's customers. Indeed, it seems the only certainty is that annual revenues from the Newtown Creek Project will not meet or exceed the annual revenue requirement of the project.

Q. How should the Commission protect customers regarding the Newtown Creek Project?

A. We recommend the Commission impute a level of revenue in KEDNY's revenue requirement to equal the actual annual costs of the project. KEDNY should test annually to determine if the actual revenues exceed the actual revenue requirement of the project. If the actual revenues do not exceed the actual revenue requirement of the project, no reconciliation should be permitted. If the actual revenues exceed the actual revenue

requirement, shareholders can retain any revenues from previous cumulative shortfalls.

Q. Why should shareholders bear the risk of generating sufficient revenues to cover the cost of the Newtown Creek Project?

A. KEDNY has known throughout its sanctioning process that the projected levelized cost of any natural gas produced from the project was much higher than the market value of the natural gas and environmental attributes, yet KEDNY chose to continue the project.

Q. Does the Panel recommend a level of Newtown Creek Project revenues to impute in the Rate Year?

A. Yes. We recommend imputing $3.3 million in revenues from the Newtown Creek Project.

Q. How did you develop this imputation?

A. As shown on Exhibit___(SPP-3), we used KEDNY's response to IR DPS-738, Attachment 1 and made the following modifications: (1) updated the rate of return to 7.59% to reflect the Staff Finance Panel's cost of capital recommendations; and (2) updated the capital costs of the Newtown Creek Project to $37.9 million based on the

response to IR DPS-973.

Q. Did you provide this adjustment to the Staff Revenue Requirements Panel?

A. Yes.

Q. Does this conclude your testimony at this time?

A. Yes, at this time.